complain if they downplay their own spillover effects while they are pushing for recovery.

AN INDEPENDENT ASSESSOR

In an ideal world, unconventional monetary policies such as QE or QEE should be vetted by an independent assessor for their spillover effects. The assessment procedure is easy to visualize; Perhaps following a complaint by an impacted country (as in the WTO), the independent assessor could analyse the effects of such policies and come to a judgment on whether they follow the rules of the game. Policies where the benefits are largely domestic, while the costs fall largely abroad, would be especially carefully scrutinized. And if the assessor deems the policy reduces global welfare, international pressure should be applied to stop such policies.

The problems with such an idealistic process are easy to see. Where is such an impartial assessor to be found? The staff at multilateral institutions is excellent, and well capable of independent judgment. But political pressure subsequent to the initial assessment operates unevenly. Initial assessments typically remain unaltered when a small country complains (no country likes independent assessments), but are often toned down when a large economy protests. There are many exceptions to this, but more work is needed to build trust in the impartiality of assessments of multilateral institutions.

Even if multilateral organizations become immune to power politics, they are not immune to cognitive capture. Their staff has been persuaded by the same models and frameworks as the staff of industrial country central banks – models where monetary policy is an extremely powerful tool to elevate activity, and exchange rate flexibility does wonders in insulating countries from the most debilitating spillovers. 'Decoupling' is always possible in such models, even though the evidence is that the models typically underestimate